Financial due diligence memo: Larsen & Toubro Limited (consolidated)

Tarana Bansal | 29 October 2026 | Public-information review, not an audit | Basis: audited FY26 and FY25 consolidated results (filed 5 May 2026), L&T Overall Financial Review 2025-26, Crisil and ICRA rating rationales, NSE filings; FY22-FY24 headline figures. FY26 basis: Q2 FY27 results (27 October 2026) are not reflected. All amounts in INR crore (Cr).

Bottom line. FY26 earnings are real and cash-backed, but their quality is weaker than the headline suggests. Reported profit after tax grew 7% (recurring profit 18%), yet 46% of the rise in pre-exceptional profit came from other income and lower interest, and 35% of pre-lending operating cash flow came from a working-capital release that the company attributes to customer advances and vendor credit. The balance sheet is strong (net debt to equity 0.35x, AAA ratings), so these are earnings-quality and reversibility risks, not solvency risks. I flag eight items; three need management answers before FY26 cash flow is relied on.

1. Quality of earnings

- **Where the profit growth came from.** Profit before exceptional items and tax rose Cr 4,594 (+19.9%): operating profit contributed Cr 2,716 (59%), other income Cr 1,636 (36%) and lower finance costs Cr 486 (11%), less Cr 244 of extra depreciation. Operating profit (EBITDA) grew only 10.3%.
- **Other income is large and market-sensitive.** At Cr 5,761 (+39.7%) it equals 20.8% of pre-exceptional profit (17.9% in FY25). The cash flow statement shows Cr 3,017 of interest income and Cr 1,863 of investment gains; both depend on rates and markets.
- **Operating margin is flat, with cost pressure.** EBITDA was Cr 29,151, a 10.2% margin (10.3%). Manufacturing, construction and operating costs rose to 67.5% of revenue from 66.9%; management cites execution pressure and higher provisioning on contract assets and customer receivables in Infrastructure and Energy.
- **Exceptional items in both years.** FY25 had a Cr 475 gain (part reversal of an impairment on L&T Special Steels and Heavy Forgings); FY26 a Cr 1,722 charge for gratuity under the new labour codes. Recurring profit of Cr 17,238 (+18%) therefore overstates momentum against reported Cr 16,084 (+7%), and the labour-code change raises the future cost run-rate. On a standalone basis L&T also impaired its Hyderabad Metro investment by Cr 6,013, which eliminates on consolidation.
- **Credit costs and leakage.** Bad debts and expected credit loss were Cr 4,036 (FY25 Cr 3,532, +14%), 13.8% of EBITDA; the results do not split EPC receivables from the lending arm. Minorities take Cr 2,870, 15% of group profit; the tax rate was 26.2% on pre-exceptional profit (25.5%).

2. Working capital and receivable days (FY25 vs FY26, from the audited balance sheets)

Metric	FY25	FY26	What it says
Receivable days (receivables / revenue x 365)	76.7	77.2	Flat; receivables +12.6% against revenue +11.8%
Inventory days (on revenue)	10.9	12.2	Slightly higher
Payable days (on operating costs)	116.3	136.4	+20 days: payables +32% against operating costs +13%
Cash conversion cycle (days)	-28.7	-47.0	The whole improvement comes from suppliers, not customers
Contract liabilities and other current liabilities	63,327	85,862	+36%: advances on new orders
Other current assets, including contract assets	75,560	91,303	+21%, faster than revenue: unbilled work is building
Net working capital % of sales (company, ex financial services)	11.0%	4.1%	Company: customer advances and higher vendor credit
Working-capital cash effect (receivables, inventory, payables)	-1,020	+14,776	35% of FY26 operating cash flow before lending

Reversibility. If net working capital returned to 8% of core revenue (Cr 268,591) the outflow would be about Cr 10,500; at the FY25 level of 11% about Cr 18,500, against FY26 operating cash flow of Cr 16,741. Crisil separately notes that standalone gross current asset days rose to 276 from 259 on delayed invoicing and receivables. Five-year view (Screener, consolidated): debtor days fell from 108 in FY22 to 77 and have held there, while payable days fell from 378 to 208 by FY25 and rebounded to 265 in FY26. The audited balance sheets analysed above cover FY25 and FY26.

3. Related-party transactions and group exposures

- **Perimeter.** 90 subsidiaries, 5 associates, 9 joint ventures and 35 jointly held operations; three listed subsidiaries (LTM, L&T Technology Services, L&T Finance) sit behind Cr 19,241 of minority interest. Joint ventures and associates swung to a Cr 206 loss from Cr 14.
- **Parent support to Hyderabad Metro.** L&T has guaranteed Cr 8,616 of the project debt (ICRA). A sale to the Telangana government was agreed on 29 April 2026 and, with Nabha Power (sale to Torrent Power), is held for sale: assets Cr 25,470 against liabilities Cr 20,966.
- **Approved related-party limits.** An institutional investor's voting record for L&T's January 2026 postal ballot lists approvals for dealings with L&T-MHI Power Boilers of up to Cr 11,400, and parent guarantees or comfort letters of up to Cr 4,000 and Cr 14,000 in separate resolutions. Terms and arm's-length basis need checking against the notice.
- **Cash upstreaming and restructuring.** The parent received Cr 3,403 of dividends from subsidiaries and associates against Cr 4,676 paid to shareholders. The Realty slump sale to L&T Realty Properties (pending NCLT approval) and the e-commerce transfer to SuFin are intra-group moves.

Not yet done: the Ind AS 24 note (balances, pricing, key-management pay) and the half-yearly related-party filings under SEBI LODR Regulation 23.

4. Contingent liabilities

- **Trend.** Data providers compile contingent liabilities of Cr 28,922 at March 2026, against Cr 23,647 a year earlier (+22%), Cr 18,988 at March 2024 and Cr 17,511 at March 2023. That is 26% of owners' net worth and grew three times faster than profit. Basis (consolidated or standalone) and composition must be confirmed in the annual report note.
- **Known components.** The Cr 8,616 Hyderabad Metro guarantee falls away when the sale completes. Non-fund-based facilities (bank guarantees to clients) and claims on contract assets are the other likely drivers.

5. Red-flag summary

#	Red flag	Evidence	Severity
1	Operating cash flow flattered by working capital	+Cr 14,776 inflow; net working capital 11.0% to 4.1%; payable days +20	High
2	Rising provisions on contract assets and receivables	Bad debts and ECL +14% to Cr 4,036; contract assets +21%; management cites it	High
3	Non-operating items drive profit growth	46% of the rise in pre-exceptional profit; other income +39.7%	Medium
4	Margin pressure on fixed-price execution	EBITDA margin 10.2% vs 10.3%; operating costs 67.5% vs 66.9% of revenue	Medium
5	Recurring "one-off" items	Gain in FY25, charges in FY26; recurring profit +18% vs reported +7%	Medium
6	Contingent liabilities outgrowing earnings	+22% against profit +7%; 26% of net worth	Medium
7	Parent support and pending divestments	Cr 8,616 guarantee; Cr 25,470 of assets held for sale	Medium
8	Concentration and geography	About 40% of the order book in the GCC (ICRA); 61% from government and public sector (company)	Medium

Severity is my judgement: High means it could change how FY26 cash flow or margins are read.

Key risks and what I would ask management

Larsen & Toubro Limited | Companion to the due diligence memo | Each question is tied to a number above

#	Risk	Question for management	Documents to request
1	Working-capital release may reverse	How much of the 4.1% net working capital reflects customer advances versus vendor credit? What is the advance balance and its unwind schedule, and what level is in the FY27 plan?	Advance and contract-liability ageing by project; vendor credit terms by segment
2	Provisions on contract assets and receivables	Which projects drove the higher provisioning? Provide ageing of contract assets and receivables in Infrastructure and Energy, the amounts disputed or beyond contract terms, and coverage.	Contract asset and receivable ageing; provisioning policy; list of disputed claims
3	Quality of other income	Split Cr 5,761 into interest, dividends and fair-value gains. What yield is earned on surplus funds, and what happens to profit if rates fall 100 basis points?	Treasury portfolio statement; yield and duration
4	Exceptional items and "recurring" profit	Is any further labour-code true-up expected? What are the rules for classifying an item as exceptional, and why was the Cr 6,013 Metro impairment taken at standalone level only?	Actuarial report; exceptional-item policy; impairment workings
5	Contingent liabilities	What makes up Cr 28,922 (guarantees, tax, claims, bank guarantees)? What drove the Cr 5,275 rise, and what is the probability-weighted exposure?	Contingent liability note with category and movement; legal and tax dispute register
6	Divestment execution	Where do the Nabha Power and Hyderabad Metro closings stand? What proceeds are expected against Cr 4,504 of net assets held for sale, and what guarantees remain afterwards?	Share purchase agreements; closing conditions; guarantee release letters
7	Related-party pricing	How are transactions with subsidiaries such as L&T-MHI Power Boilers priced, and what is the margin versus third-party work? Why are guarantee limits as high as Cr 14,000?	Postal ballot notice; transfer-pricing study; Ind AS 24 note
8	Credit costs in the lending arm	How much of the Cr 4,036 credit cost sits in L&T Finance versus EPC? What parent support is expected, and what are gross NPA and coverage trends?	Segment credit cost split; L&T Finance asset-quality disclosures
9	Geography and counterparty concentration	About 40% of the order book is in the GCC: how did the West Asia conflict affect margins, collections and advances? What protection exists (letters of credit, advances)?	Order book and receivables by country; payment security terms
10	Margin durability	Give the EBITDA margin bridge by segment. How much of the roughly 60 basis point rise in operating costs reflects fixed-price contracts without escalation?	Segment margin bridge; price-variation clause summary

Next steps for the full diligence

- Replace the Screener FY22-FY24 working-capital series with days computed from the annual report balance sheets.
- Pull the Ind AS 24 and contingent liability notes from the integrated annual report and replace the data-provider figures.
- Run a sensitivity of the valuation model to the net working capital path, since the reversal risk is the largest swing factor.